



Master Test - 01

CA Inter Udesb Regular Sep 2026

18/04/2026

Master Test – 1

ANSWER KEY (MCQ)

- | | |
|--------|--------|
| 1. (B) | 5. (C) |
| 2. (B) | 6. (D) |
| 3. (A) | 7. (C) |
| 4. (B) | 8. (B) |



Hints & Solution (Objective)

1. (B)

Correct option: B

Reason:

- Issue size = 2,00,000 shares $\times$ ₹10 = ₹20,00,000
- Minimum subscription stated in prospectus = ₹18,00,000 (i.e. 90% of issue size)
- Actual subscription received = 1,60,000 shares $\times$ ₹10 = ₹16,00,000

Under Section 39 of the Companies Act, 2013, a company cannot make allotment unless the minimum subscription (at least 90% of the issue amount) is received.

Since ₹16,00,000 < ₹18,00,000, the minimum subscription condition is not fulfilled.

Hence, EBC Ltd. is not allowed to allot shares.

2. (B)

Correct option: B ₹ 18,00,000

Reason:

As per Section 39 of the Companies Act, 2013 read with SEBI regulations, a company making a public issue must receive at least 90% of the issue amount, which is treated as the minimum subscription.

In this case, the prospectus itself specifies the minimum subscription as ₹18,00,000, and allotment can proceed only if this amount is received.

3. (A)

Correct option: A 15 days

Reason:

As per Section 39(3) of the Companies Act, 2013 read with Rule 11 of the Companies (Prospectus and Allotment of Securities) Rules, 2014, where the minimum subscription is not received, the company shall refund the entire application money within 15 days from the date of closure of the issue.

If the refund is not made within this period, the company becomes liable to pay interest as prescribed.

4. (B)

Correct option: B The allotment will be considered void and the company may face penalties.

Reason:

Under Section 39 of the Companies Act, 2013, if the minimum subscription is not received, the company shall not make any allotment of securities. Any allotment made in contravention of this provision is invalid (void).

Further, the company and its officers in default are liable to penalties prescribed under the Act for non-compliance.

5. (C)

As per the Companies Act, 2013 and Deposit Rules:

- Premature repayment is allowed after 6 months.
- Interest is 1% less than the contracted rate.
- For Mr. Y, deposit from 1st May 2021 to 31st May 2022 = 13 months.
- Interest @ 9% (10% - 1%) is payable.

Correct Answer: Option C

The company can repay with 9% interest for 13 months (1st May 2021 to 31st May 2022).



6. **(D)**

As per Rule 3(2) of the Companies (Acceptance of Deposits) Rules, 2014, a company may accept deposits in joint names not exceeding three.

Mr. U requested to make his deposit joint with his wife and two children (total of four joint holders), which is not permissible.

Correct Answer: Option D

The deposits can be held jointly by Mr. U and any two members only.

7. **(C)**

As per Rule 2(1)(c) of the Companies (Acceptance of Deposits) Rules, 2014:

- Deposits include any receipt of money by way of deposit or loan or in any other form by a company.
- However, excludes:
 - o Amounts raised through bonds/debentures that are secured or listed.
 - o Amounts received from a Public Sector Bank.
 - o Amounts received by issue of commercial paper in line with RBI guidelines.

Correct Answer: Option C

Amount received from Public — this constitutes a deposit under the Companies Act, 2013.

8. **(B)**

Explanation:

Section 59(1): If the name of a person is without sufficient cause omitted or wrongly entered in the Register of Members, he may apply to the Tribunal.

The Tribunal may order rectification of register and also award damages or costs against the company.

Hence, Arjun can get his name entered and recover unpaid dividend.



Hints & Solution (Subjective)

1(a). (H & S)

According to section 2(76)(viii) of the Companies Act, 2013, Related party, with reference to a company, means any body-corporate which is -

(A) a holding, subsidiary or an associate company of such company; **(1 Mark)**

(B) a subsidiary of a holding company to which it is also a subsidiary; or **(1 Mark)**

(C) an investing company or the venturer of the company; **(1 Mark)**

In the given Question, D Private Limited and E Private Limited are wholly owned subsidiary companies of ABC Private Ltd. According to stated clause (B), above, D Private Limited and E Private Limited are related parties. However, as per the Notification No. G.S.R. 464(E) dated 5th June, 2015, clause (viii) shall not apply with respect to section 188 to a private company, though being a related party. **(2 Marks)**

Alternate Answer

According to section 2(76)(viii)(B) of the Companies Act, 2013, Related party, with reference to a company, means any body-corporate which is a subsidiary of a holding company to which it is also a subsidiary. However, Clause (viii) shall not apply with respect to section 188 (Related Party transactions) to a private company vide Notification No. G.S.R. 464(E) dated 5th June, 2015.

In the given Question. D Private Limited and E Private Limited are wholly owned subsidiary companies of ABC Private Ltd. According to stated clause (B), above, D Private Limited and E Private Limited are related parties. However, as per the mentioned Notification, clause (viii) shall not apply with respect to section 188 to a private company. Therefore, D Private Limited and E Private Limited are not related parties for the purpose of section 188.

1(b). (H & S)

According to section 16 of the Companies Act, 2013, if, through inadvertence or otherwise, a company on its first registration or on its registration by a new name, is registered by a name which: in the opinion of the Central Government (Power delegated to the Regional Director), is of opinion that name (original or revised/new) of company is identical with or too nearly resembles to the name by which a company in existence, then, either:

(i) On its own or

(ii) On an application by a proprietor of already registered trade mark under the Trade Marks Act, 1999, it may direct the company to change its name. **(1 Mark)**

The company shall change its name or new name, as the case may be, within a period of three months from the issue of such direction, after adopting an ordinary resolution for the purpose.

Application by a proprietor of registered trade mark shall be made within three years of incorporation or registration or change of name of the company. In the given question, UINA Infra Projects Private Limited was incorporated on 1st June, 2022. The trade mark of UINA Infra Projects was registered on 1st April, 2018. **(1 Mark)**

In terms of the above stated provisions and facts of the question, we can answer the questions as under:

Part (i) - First Ground of Objection:

In the first instance, the contention of Mr. D (a director of UINA Infra Projects Private Limited) is not tenable due to the fact that the restriction is not only with respect to the name of an existing company, but also as a result of an application filed before the appropriate authority by the proprietor of a registered trademark. **(1 Mark)**

In other words, the name of the company "UINA Infra Projects" is verbatim identical to the trademark registered by Mr. X. Hence, the contention of Mr. D is not tenable. **(1 Mark)**

Part (ii) - Second Ground of Objection:

In the second instance also, the contention of Mr. D is not tenable. The application should be made by the proprietor of a registered trademark within three years of incorporation or registration or change of name of the company and not within two years. **(1 Mark)**



1(c). (H & S)

Under section 35 (1) of the Companies Act 2013, where a person has subscribed for securities of a company acting on any statement included in the prospectus which is misleading and has sustained any loss or damage as a consequence thereof, the company and every person including an expert shall, be liable to pay compensation to the person who has sustained such loss or damage. In the present case, Mr. Alok purchased the shares of Sudarshan Exports Ltd. on the basis of the expert report published in the prospectus. Mr. Alok can claim compensation for any loss or damage that he might sustained from the purchase of shares, which has not been mentioned in the given case. Hence, Mr. Alok will have no remedy against the company. Circumstances when an expert is not liable: An expert will not be liable for any mis- statements in the prospectus under the following situations: **(2 Marks)**

- (i) Under section 26 (5), that having given his consent, but withdrew it in writing before delivery of the copy of prospectus for filing, or **(0.5 Mark)**
- (ii) Under section 35 (2), that the prospectus was issued without his knowledge / consent and that on becoming aware of it, he forthwith gave a reasonable public notice that it was issued without his knowledge or consent; **(0.5 Mark)**
- (iii) that, as regards every misleading statement purported to be made by an expert or contained in what purports to be a copy of or an extract from a report or valuation of an expert, it was a correct and fair representation of the statement, or a correct copy of, or a correct and fair extract from, the report or valuation; and he had reasonable ground to believe and did up to the time of the issue of the prospectus believe, that the person making the statement was competent to make it and that the said person had given the consent required by section 26(5) to the issue of the prospectus and had not withdrawn that consent before delivery of a copy of the prospectus for registration or, to the defendant's knowledge, before allotment thereunder. **(2 Marks)**

2(a). (H & S)

Pre-requisites for issue of bonus shares Sub-section 2 Section 63 **(1 Mark for each point max 5 marks)**

No company may capitalise its profits or reserves for the purpose of issuing fully paid-up bonus shares, if;

- a. it is authorised by its Articles,
- b. it has on the recommendation of the Board, been authorised in the general meeting of the company;
- c. it has not defaulted in payment of interest or principal in respect of fixed deposits or debt securities issued by it;
- d. it has not defaulted in respect of the payment of statutory dues of the employees, such as, contribution to provident fund, gratuity and bonus;
- e. the partly paid-up shares, if any outstanding on the date of allotment, are made fully paid-up;
- f. it complies with such conditions as prescribed by Rule 14 of the Companies (Share capital and debenture) Rules, 2014, that a company which has once announced the decision of its Board recommending a bonus issue, shall not subsequently withdraw the same.

2(b). (H & S)

- (a) In terms of Rule 2 (1) (c) (iii) of the Companies (Acceptance of Deposits) Rules, 2014, any amount received as a loan or facility from any banking company shall not be considered as 'deposit'. **(1 Mark)**

In view of the above, the contention of Mr. Taar that the term loan of Rs 10,00,000 availed by the company from ABC Bank Limited shall be considered as 'deposit' is not correct. **(1 Mark)**

- (b) As per Rule 3 (5) of the Companies (Acceptance of Deposits) Rules 2014, a Government Company is not eligible to accept or renew deposits under section 76, if the amount of such deposits together with the amount of other deposits outstanding as on the date of acceptance or renewal exceeds thirty-five per cent of the aggregate of its paid-up share capital, free reserves and securities premium account. **(2 Marks)**

Therefore, the given statement where the limit of 25% has been stated for acceptance of deposits is not correct. **(1 Mark)**



3(a). (H & S)

Under section 20 **(1 Mark)** of the Companies Act, 2013 a document may be served on a company or an officer thereof by sending it to the company or the officer at the registered office of the company by registered post or by speed post or by courier service or by leaving it at its registered office or by means of such electronic or other mode as may be prescribed. However, in case where securities are held with a depository, the records of the beneficial ownership may be served by such depository on the company by means of electronic or other mode. **(2 Marks)**

Under section 20 (2), save as provided in the Act or the rule thereunder for filing of documents with the registrar in electronic mode, a document may be served on Registrar or any member by sending it to him by post or by registered post or by speed post or by courier or by delivering at his office or address, or by such electronic or other mode as may be prescribed. However, a member may request for delivery of any document through a particular mode, for which he shall pay such fees as may be determined by the company in its annual general meeting. **(2 Marks)**

3(b). (H & S)

As per the provisions of sub-section (2) of section 42 of the Companies Act, 2013, private placement shall be made only to a select group of persons who have been identified by the Board (herein referred to as "identified persons"), whose number shall not exceed 50 or such higher number as may be prescribed, in a financial year subject to such conditions as may be prescribed. **(1 Mark)**

It is also provided that any offer or invitation made to qualified institutional buyers, or to employees of the company under a scheme of employees' stock option as per provisions of section 62(1)(b) shall not be considered while calculating the limit of two hundred persons.

According to Rule 14 (2) of the Companies (Prospectus and Allotment of Securities) Rules, 2014, an offer or invitation to subscribe securities under private placement shall not be made to persons more than two hundred in the aggregate in a financial year. **(1 Mark)**

As per Explanation given in this Rule, it is clarified that the restrictions aforesaid would be reckoned individually for each kind of security that is equity share, preference share or debenture. **(1 Mark)**

Referring to the above-mentioned provisions of sub-section (2) of section 42 of the Companies Act, 2013 and Rule 14 the Companies (Prospectus and Allotment of Securities) Rules, 2014, we can conclude as follows:

- (i) The company is correct in proposing that private placement shall be made only to a select group of identified persons not exceeding 200 in a financial year. This part of the proposal is correct.

The company is also correct in proposing that the aforesaid ceiling of identified persons shall not apply to offer made to the qualified institutional buyers, but the company is not correct in saying that the said ceiling is applicable to employees covered under the Company's Employee Stock Option Scheme. Hence, the second part of the proposal is only partially correct. **(1 Mark)**

- (ii) The Companies (Prospectus and Allotment of Securities) Rules, 2014 provides that an offer or invitation to subscribe securities under private placement shall not be made to persons more than 200 in aggregate in a financial year.

Keeping the ceiling of 200 persons in aggregate during a financial year, offer of private placement can be made more than once in a financial year. Therefore, the second statement is not fully correct. **(1 Mark)**

4(a). (H & S)

- (i) According to section 2(71) of the Companies Act, 2013, (the Act) a Public Company means a company which—
(a) is not a Private Company; and
(b) has a minimum paid-up share capital as may be prescribed:



Provided that, a company which is a subsidiary of a company, not being a private company, shall be deemed to be a public company for the purposes of this Act even where such subsidiary company continues to be a private company in its Articles.

As per section 2(51) of the Act, Key Managerial Personnel (KMP), in relation to a company, includes the Chief Financial Officer.

According to section 67(2) of the Companies Act, 2013, Public Company shall not give any financial assistance:

1. Whether directly or indirectly and whether by means of a loan, guarantee, the provision of security or otherwise.
2. For the purpose of, or in connection with, a purchase or subscription made or to be made, by any person of or for any shares in the company or in its holding company. **(1 Mark)**

As per section 67(3) of the Act, a company may provide the financial assistance, in case of lending money by a company to its employees (other than its directors or key managerial personnel), not exceeding six-month salary of the employees to enable them to buy or subscribe fully paid shares in the company or its holding company and to hold them by way of beneficial ownership. **(1 Mark)**

In the given question, Silk Segment Private Ltd. (SSPL) is a wholly owned subsidiary of Silk Block Ltd. (SBL). Thus, SSPL will also be deemed as a public company [by virtue of Section 2(71)].

Hence, considering the above provisions we can answer the following to the questions asked:

- (i) Mr. Sohan is the Deputy Marketing Manager of SSPL; hence loan may be provided to him up to the limit of his 6 months' salary i.e. ₹ 6,00,000. Thus, proposal to grant loan of ₹ 15,00,000 to Mr. Sohan for purchase of shares in SBL is not valid.

Ms. Subarna is a KMP (being the Chief Financial Officer of SSPL), hence, proposal to grant loan to her for purchase of shares in SBL is not valid. **(1 Mark)**

- (ii) Section 67 of the Act shall not apply to private companies in whose share capital no other body corporate has invested any money. In case where Silk Block Ltd. (SBL) held only 25% shares of Silk Segment Private Ltd. (SSPL), the latter would not be termed as a subsidiary of the former and hence would not be a deemed public company. It will still be regarded as a private limited company. Further, SBL is holding shares in SSPL, thus SSPL will not fall in the exempted class of private companies and accordingly, the provision of section 67(3) of the Companies Act, 2013 shall apply. **(1 Mark)**

In view of the above provisions, the answer would remain the same in case only 25% shares of SSPL are held by SBL. **(1 Mark)**

4(b). (H & S)

Rule 2(1)(c) **(1 Mark)** of the Companies (Acceptance of Deposit) Rules, 2014, states various amounts received by a company which will not be considered as deposits. As per rule 2(1)(c)(x) any amount received from an employee of the company not exceeding his annual salary under a contract of employment with the company in the nature of non-interest-bearing security deposit is not considered as deposit. **(2 Marks)**

In the instant case, ₹ 5,30,000 was received by PQR Trading Private Limited as a non-interest-bearing security deposit, from its employee, Mr. Romit, who draws an annual salary of ₹ 5,00,000 under a contract of employment.

Accordingly, amount of ₹ 5,30,000 received from Mr. Romit, will be considered as deposit as per sub-clause (x) of Rule 2(1)(c), as the amount received from Mr. Romit is more than his annual salary of ₹ 5,00,000. **(2 Marks)**



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